

26VECV02133 26VECV02133

County: los-angeles

Division: Civil Law and Motion

Department: NWI

Hearing date: 2026-07-28

Motion: DEMURRER AND MOTION TO STRIKE

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Case Number: 26VECV02133 Hearing Date: July 28, 2026 Dept: NWI

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

COUNTY

OF LOS ANGELES

GEVORK

GEORGE MGDESYAN, ET AL.,

Plaintiffs,

vs.

STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY, ET
AL.,

Defendants.

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CASE

NO: 26VECV02133

[TENTATIVE]

ORDER RE: DEMURRER AND MOTION TO STRIKE

Dept.

I

HEARING

DATE: July 28, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: April 9, 2026

TRIAL

DATE: None

I.

BACKGROUND

Plaintiff MGD Timeless LLC is the owner of a 2022 Rolls Royce (the "Vehicle"). Plaintiff Gevork George Mgdesyan maintained an active automobile insurance policy (the "Policy") on the Vehicle from Defendant State Farm Mutual Automobile Insurance Company ("State Farm"). The Vehicle was involved in an automobile accident on September 7, 2025. The accident resulted in significant property damage and bodily injuries to Plaintiffs Gevork and Anahit Mgdesyan. Plaintiffs immediately reported the accident to Defendant State Farm and State Farm assigned claim number 75-90C8-72S (the "Claim").

On September 26, 2025, State Farm sent a property damage appraiser to inspect and evaluate the property damage on the Vehicle and prepare an estimate. On October 3, 2025, Plaintiffs' counsel sent a letter to State Farm advising it had been retained to represent Plaintiffs. That same day, State Farm advised Plaintiffs the Claim had been reassigned to its Special Investigative Unit and State Farm requested specific additional documents, which Plaintiffs promptly provided. State Farm's investigation required Plaintiffs to submit multiple documents and provide statements under oath. On March 27, 2026, State Farm also hired an accident reconstruction expert to review the claim.

Plaintiffs allege they have fully cooperated with the claims investigation process and they have still not received any claim or coverage determination from State Farm.

Plaintiffs allege the Vehicle has remained at the auto body shop where it was initially towed after the accident. Plaintiffs allege they have continued to make timely lease payments and insurance premiums. Plaintiffs allege they have been forced to obtain a replacement vehicle due to the delay in resolving the claim and coverage. Plaintiffs allege Defendant State Farm has failed to handle their claim in good faith and with due diligence. Plaintiffs allege State Farm has conducted a biased investigation aimed at denying the claim.

On April 9, 2026, Plaintiffs filed a complaint against Defendant State Farm alleging (1) breach of insurance contract; (2) bad faith breach of implied covenant of good faith and fair dealing; and (3) declaratory relief.

On May 26, 2026, Defendant State Farm filed a demurrer and motion to strike. On July 15, 2026, Plaintiffs filed an opposition. On July 21, 2026, Defendant filed a reply.

II.

LEGAL

STANDARDS

A demurrer is a pleading that may be used to test the legal sufficiency of the factual allegations in a complaint. (Cal. Code of Civ. Proc. § 430.10.) There are two types of demurrers: general demurrers and special demurrers. (See *McKenney v. Purepac Pharmaceutical Co.* (2008) 167 Cal.App.4th 72, 77.)

General demurrers can be used to attack pleadings for failure to state facts sufficient to constitute a cause of action or for lack of subject matter jurisdiction. (CCP § 430.10(e); *McKenney*, supra, 167 Cal.App.4th at 77.) Such demurrers can be used only to challenge defects that appear on the face of the pleading or from matters outside the pleading that are judicially noticeable; evidence or extrinsic matters are not considered. (CCP §§ 430.30 and 430.70; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) For the purpose of testing the sufficiency of the cause of action, the Court admits “all material facts properly pleaded” and “matters which may be judicially noticed,” but does not consider contentions, deductions, or conclusions of fact or law. [Citation].” (*Blank*, supra, 39 Cal.3d at 318.) The Court gives these facts “a reasonable interpretation, reading it as a whole and its parts in their context.” (*Ibid.*) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (*Semole v. Sansoucie* (1972) 28 Cal. App. 3d 714, 721.) The face of the complaint includes exhibits attached to the complaint. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) “If facts appearing in the exhibits contradict those

alleged, the facts in the exhibits take precedence." (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1447.)

CCP § 430.41 requires that "[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (CCP § 430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (CCP § 430.41(a)(2).) Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (CCP § 430.41(a)(3).)

When a demurrer is sustained, the Court determines whether there is a reasonable possibility that the defect can be cured by amendment. (Blank, supra, 39 Cal.3d 311, 318.) When a plaintiff "has pleaded the general set of facts upon which his cause of action is based," the court should give the plaintiff an opportunity to amend his complaint, since plaintiff should not "be deprived of his right to maintain his action on the ground that his pleadings were defective for lack of particulars." (Reed v. Norman (1957) 152 Cal.App.2d 892, 900.) Generally, the court will allow leave to amend on at least the first try, unless there is absolutely no possibility of overcoming the issue. (See Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1227 ["Denial of leave to amend constitutes an abuse of discretion unless the complaint shows on its face it is incapable of amendment. (Citation.) Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given."].)

III.

DISCUSSION

Defendant

demurs to Plaintiffs' second cause of action for bad faith denial of claim and third cause of action for declaratory relief.

Defendant argues Plaintiffs' allegations do not support a finding of bad faith and instead establish an investigation of the claim and a good faith dispute over coverage. Defendant argues

Plaintiffs fail to allege any unreasonable conduct. Defendant also argues there is no basis for a declaratory relief claim, because it merely restates the breach of contract

claim and seeks past damages.

A. Demurrer to Second Cause of Action for Bad

Faith Breach of the Implied Covenant of Good Faith and Fair Dealing OVERRULED.

“Every contract imposes on each party an implied duty of good faith and fair dealing.

Simply stated, the burden imposed is that neither party will do anything which will injure the right of the other to receive the benefits of the agreement. Or, to put it another way,

the ‘implied covenant imposes upon each party the obligation to do everything that the contract presupposes they will do to accomplish its purpose.’” (Chateau Chamberay Homeowners Ass’n v. Associated Intern. Ins. Co. (2001) 90 Cal.App.4th 335, 345-346.)

In the

insurance context, the implied covenant of good faith and fair dealing with respect to handling a claim “is not the requirement mandated by the terms of the policy itself-to defend, settle, or pay” but the requirement that the insurer must act “fairly and in good faith in discharging its contractual responsibilities.” (Id. at

346.) “The reasonableness of an

insurer’s conduct is ordinarily a question of fact, except in the exceptional

instance when only one reasonable inference can be drawn from the evidence.” (Mt. Hawley Insurance Company v. Lopez (2013) 215 Cal.App.4th 1385, 1424.)

Unreasonable

delay in settling an insurance claim constitutes bad faith. (McCormick v. Sentinel Life Ins. Co. (1984) 153 Cal.App.3d 1030, 1048–1051.)

“[W]hether an insurer’s denial of a claim is unreasonable is dependent upon the facts in each case. The issue remains a question of fact unless only one inference may be drawn from the evidence.” (Paulfrey v. Blue Chip Stamps (1983) 150 Cal.App.3d 187, 194.)

In order

to hold an insurer liable for its delay or denial in the payment of policy benefits as bad faith, the plaintiff must demonstrate that the insurer acted unreasonably or without proper cause. (Id.

at 347.) In California, an insurer

cannot be held liable for conduct in handling a claim where a genuine dispute exists over either the existence of coverage or the amount of a particular

claim and it advances its side of the dispute.

(Id.)

Plaintiffs'

insurance claim has not yet been resolved.

Defendant is still investigating, even though the accident occurred in September 22, 2025. Defendant began the investigation into the claim approximately four days after the accident on September 26, 2025. Ten months later, Plaintiffs claim has still not been resolved and Defendant's investigation continues.

Plaintiffs

allege that Defendant referred the claim to the Special Investigation Unit after Plaintiffs' counsel informed Defendant that they had been retained by Plaintiffs. (Complaint, ¶18.) Prior to that date, Defendant sent an appraiser to inspect and evaluate the property damage and prepare an estimate. (Complaint, ¶18.) On October 3, 2025, State Farm then requested multiple documents, including a signed Event Data Record ("EDR") consent form. (Complaint, ¶19.) Plaintiffs promptly complied with the document request on October 6, 2025, but they did not include the EDR consent form or the Infotainment consent form.

(Complaint, ¶20.) Plaintiffs also

provided a recorded statement on October 8, 2025. (Complaint, ¶22.) On October 14, 2025, State Farm indicated the investigation of the claim was pending the signed EDR consent form and Infotainment consent form. On October 15, 2026, Plaintiffs' counsel provide an executed copy of the EDR consent and Infotainment consent form by email. (Complaint,

¶24.) On December 2 and 24, 2025,

Defendant indicated once again that the claim was being investigated pending receipt of the signed EDR consent form and Infotainment consent form. (Complaint, ¶26.) Defendant did not obtain the EDR

Vehicle until December 5, 2025, approximately two months after the EDR consent form was sent. (Complaint, ¶28.) On February 2, 2026, Defendant requested an examination under oath of Plaintiffs.

(Complaint, ¶30.) Plaintiffs'

examination occurred on February 16, 2026.

(Complaint, ¶31.) On March 27,

2026, Defendant notified Plaintiffs that an accident reconstructionist was reviewing the claim. (Complaint,

¶34.)

Plaintiffs'

bad faith claim is based on their belief that Defendant has unreasonably delayed in settling the coverage claim. Plaintiffs provided all information requested of them promptly and yet Defendant has still not concluded its investigation of the claim or come to a decision about coverage. Plaintiffs allege that

Defendant is ignoring evidence that supports their claim and is unreasonably and unjustifiably failing to timely pay the claim. (Complaint, ¶68.) Plaintiffs also allege that Defendant's wrongfully and in bad faith delayed Plaintiffs' insurance claim by failing to conduct a full, fair, prompt and thorough investigation and failing to pay for the bodily injuries and property damage to the subject vehicle claimed, "despite clear evidence of substantial bodily injuries and property damage warranting coverage under the policy."

(Complaint, ¶11.)

Defendant

fails to cite to any authority finding a minimum period of delay to state a claim for bad faith based on delay in settling a claim. The absence of such authority is consistent with the law holding that unreasonableness is dependent on the facts of each case and can only be resolved as a question of law in rare instances. In *McCormick v. Sentinel Life Ins. Co.* (1984) 153 Cal.App.3d 1030, 1036-1037, the Court reversed summary judgment in favor of the insurer where the delay was nearly a year.

(*McCormick*, supra, 153 Cal.App.3d at 1040.)

More

than one reasonable inference can be drawn from Plaintiffs' allegations, which must be accepted as true on demurrer. Depending on the facts that will be produced in discovery, the inability to complete the investigation in 10 months, the referral to the Special Investigation Unit, the failure to obtain EDR evidence, the representation that investigation was pending the completion of consents that had already been completed and provided and the inability to conclude the investigation despite obtaining statements under oath, Defendant's conduct could be reasonable or unreasonable. Defendant fails to establish that this is the exceptional case where an insurer's reasonableness can be determined on demurrer.

Defendant

argues it cannot be held liable for bad faith because it genuinely disputes

coverage and has undertaken a thorough investigation for that reason. Defendant's argument begs the question of whether it acted in good faith and whether its actions were reasonable. Plaintiffs have not alleged any facts in the complaint that would establish a good faith dispute defense as an issue of law.

Defendant's

demurrer to the second cause of action for bad faith breach of the implied covenant of good faith and fair dealing is overruled.

B. Demurrer to Third Cause of Action for
Declaratory Relief OVERRULED

Declaratory relief is improper where "the rights of the complaining party have crystallized into a cause of action for past wrongs, all relationship between the parties has ceased to exist and there is no conduct of the parties subject to regulation by the court." (*Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners, LLC* (2010) 191 Cal.App.4th 357, 376.)

However, as explained in *Osseous*, this does not mean that declaratory relief is improper in every case where a breach of contract is alleged. The Court of Appeals created a conceptual framework classifying declaratory relief into three types for the purpose of determining whether the trial court erred by dismissing a declaratory relief cause of action. In a " 'Type 1' declaratory relief cause of action, the complaint alleges only a past breach of contract, a breach of contract remedy is available, and declaratory relief is unnecessary to guide future conduct. (Id. at pp. 365, 366–368.) The court must dismiss the Type 1 type of declaratory relief claims. (Id.) A "Type 2" declaratory relief cause of action alleges an actual and ongoing controversy, such as a continuing contractual relationship, and future consequences that depend on the court's interpretation of the contract. (Id. at pp. 369–371.) A trial court must not dismiss a Type 2 declaratory relief cause of action. (Id. at p. 365.) A "Type 3" declaratory relief cause of action alleges a current controversy over a past breach of contract and the potential that a declaration of the parties' rights under a contract might be necessary to guide the parties' future conduct in a continuing contractual relationship. (Id. at pp. 374–376.) A trial court has discretion to dismiss or not a Type 3 declaratory relief cause of action. (Id. at p. 365.)

Under Osseous, Plaintiffs' claims fall into the Type 2 category, where there is an ongoing contractual relationship, the alleged breach is ongoing and the parties' future conduct depends on the Court's ruling on the underlying claim. As a Type 2 declaratory relief claim, the Court may not dismiss or strike the declaratory relief request in its discretion and therefore defendant's demurrer to the third cause of action for declaratory relief is OVERRULED.

C. Motion to Strike is DENIED

Defendant moves to strike allegations of bad faith in the breach of contract claim, the prayer for attorney's fees and declaratory relief and the punitive damages allegations.

Defendant's motion to strike the bad faith allegations from the breach of contract claim is denied. The allegations are not improper or irrelevant. The allegations of bad faith are included in the general allegations, the first cause of action for breach of contract and the second cause of action for bad faith. These allegations are relevant and proper to plead the background of the case and are incorporated by reference into the second cause of action, which requires an allegation of bad faith to state a claim.

Defendant's motion to strike the attorney's fees request is denied. As Plaintiffs explain, Plaintiffs request attorney fees as an item of damage caused by Defendant's bad faith, which required them to file this action to obtain benefits under their insurance policy. Such fees are commonly known as Brandt fees. (*Essex Ins. Co. v. Five Star Dye House, Inc.* (2006) 38 Cal.4th 1252, 1255 (discussing *Brandt v. Superior Court* (1985) 37 Cal.3d 813, 817-819).) As discussed above, the second cause of action is sufficiently stated.

Defendant's motion to strike the declaratory relief claim is denied. As discussed above, the declaratory relief claim is sufficiently stated.

Defendant's

motion to strike the punitive damages claim is denied. As discussed above, the bad faith breach of the implied covenant of good faith and fair dealing cause of action is sufficiently stated. Punitive damages are recoverable for an insurer's bad faith breach of the insurance contract where the requisite motive and intent are established. (Neal v. Farmers Ins. Exchange (1978) 21 Cal.3d 910, 922.) Plaintiffs allege that Defendant's conduct was in bad faith, wrongful, undertaken with the intent to deny Plaintiffs their due benefits under the contract and undertaken to benefit Defendant at Plaintiffs' expense. Such allegations are sufficient to allege "malice" under Civil Code section 3294 subdivision (c)(1).

IV.

CONCLUSION

Defendant

State Farm's Demurrer to the Second and Third Causes of Action is OVERRULED. Defendant State Farm's Motion to Strike is

DENIED. Defendant to answer the SAC within 20 days of this order.

Moving

party to give notice.

Dated: July

28, 2026

Hon. Karen Moskowitz

Judge

of the Superior Court